

Investments

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_ ;
2. (2) in accordance with Insurance General Application 3, the _Society_ ; and
3. (3) in accordance with Insurance General Application 3, _managing agents_.

1.2

In this Part, the following definitions shall apply:

original lender

has the meaning given in Securitisation 1.3.

originator

has the meaning given in Securitisation 1.3.

sponsor

has the meaning given in Securitisation 1.3.

2

Prudent Person Principle: General Principles

2.1

A _firm_ must invest its assets in accordance with the following requirements:

1. (1) the _firm_ must only invest in assets and instruments the risks of which it can properly identify, measure, monitor, manage, control and report and appropriately take into account in the assessment of its overall solvency needs in accordance with Conditions Governing Business 3.8(2)(a);
2. (2) all the assets of the _firm_ must be:
 1. (a) invested in such a manner as to ensure the security, quality, liquidity and profitability of the portfolio of assets of the _firm_ as a whole; and
 2. (b) localised such as to ensure their availability; and
3. (3) in the case of a conflict of interest, the _firm_ must, or must procure that any third party which manages its assets

will ensure that the investment of assets is made in the best interest of _policyholders_.

[Note: Art. 132(1) ? (2) of the _Solvency II Directive_]

3

Prudent Person Principle: Assets Covering Technical Provisions

3.1

In addition to meeting the requirements set out in 2.1, a _firm_ must ensure that assets held to cover its _technical provisions_ are invested in a manner appropriate to the nature and duration of the _firm's_ insurance and _reinsurance_ liabilities and in the best interests of all _policyholders_ , taking into account any disclosed _policy_ objectives.

[Note: Art. 132(2) of the _Solvency II Directive_]

4

Prudent Person Principle: Additional Requirements for Assets Covering Linked Long-Term Liabilities

4.1

This Chapter does not apply to a _pure reinsurer_.

4.2

In addition to the requirements set out in 2.1 and 3.1, where a _firm_ carries out _linked long-term contracts of insurance_, it must also satisfy the requirements in 4.3.

4.3

Where 4.2 applies, the _firm_ must cover its _technical provisions_ in respect of its _linked long-term liabilities_ as closely as possible with:

1. (1) where the _linked benefits_ are linked to the value of _units_ , those _units_ ;
2. (2) where the _linked benefits_ are linked to the value of assets contained in an internal fund of the _firm_ :
 1. (a) in a case where the internal fund is divided into notional units, the assets represented by those notional units; or
 2. (b) in a case where notional units are not established, those assets; and
3. (3) where the _linked benefits_ are linked to a _share_ index or other reference value not mentioned in (1) or (2), assets of appropriate security and marketability which correspond as closely as possible to the assets on which the reference value is based.

[Note: Art. 132(3) of the _Solvency II Directive_]

5

Prudent Person Principle: Additional Requirements Where the Investment Risk Is Not Borne by the Policyholder

5.1

This Chapter does not apply in respect of assets covering _technical provisions_ for _linked long-term contracts of insurance_ unless, and to the extent that, the assets are held to cover the _technical provisions_ in respect of any

guarantee of investment performance or other guaranteed benefit provided under those _linked long-term contracts of insurance_.

[Note: Art. 132(3) ? (4) of the _Solvency II Directive_]

5.2

Subject to 5.1, and without prejudice to 2, 3 and 4, a _firm_ must invest its assets in accordance with the following requirements:

1. (1) the _firm_ must not invest in a _derivative_ or _quasi-derivative_ unless, and to the extent that, it contributes to a reduction of risks or facilitates efficient portfolio management;
2. (2) investments and assets which are not admitted to trading on a _regulated market_ must be kept to prudent levels;
3. (3) assets must be properly diversified in such a way as to avoid:
 1. (a) excessive reliance on any particular asset, issuer, _group_ of _undertakings_ or geographical area; and
 2. (b) excessive accumulation of risk in the portfolio as a whole;
4. (4) investments in assets issued by the same issuer, or issuers belonging to the same _group_ , must not expose the _firm_ to excessive risk concentration.

[Note: Art. 132(4) of the _Solvency II Directive_]

6

Repackaged Loans

6.1

A firm must ensure that the requirements set out in Article 6 of Chapter 2, Chapter 3 and Chapter 4 of the Securitisation Part, that need to be met by undertakings that repackage loans into tradable securities and other financial instruments in order for a firm to be allowed to invest in such securities or instruments, are met in respect of securities or instruments held by the firm that were:

1. (1) issued after 1 January 2011; or
2. (2) issued before 1 January 2011 where new underlying exposures were added or substituted after 31 December 2014.

[Note: Art. 135(2)(a) and Art. 308b (11) of the _Solvency II Directive_]

7

Requirement for Investments in a Securitisation

7.1

Where a firm becomes aware that the originator, sponsor or original lender fails to comply with the risk retention requirements set out in either Article 6 of Chapter 2 or in Chapter 3 of the Securitisation Part, or a firm becomes aware that the due diligence requirements set out in either Article 5(1), (2), (3) and (4) of Chapter 2 or in Chapter 3 of the Securitisation Part are not being complied with, it shall inform the PRA immediately.